UNITED STATES BANKRUPTCY COURT
WESTERN DISTRICT OF ARKANSAS – EL DORADO DIVISION

IN RE: LOWRY FARMS, INC. DEBTOR	Case No: 1:24-bk-70535 T/R Chapter 7

BRIEF IN SUPPPORT OF MOTION FOR RELIEF FROM THE AUTOMATIC STAY

COMES NOW Justin Zachary, as Special Administrator of the Estate of Cesar Figueroa-Gutierrez, Deceased, and Justin Zachary, as Special Administrator of the Estate of Juan Manuel-Medina (collectively "Movant" or "Creditors"), who appears by and through his attorney Lyndsey D. Dilks of DILKS LAW FIRM, and for his Brief in Support of Motion for Relief from the Automatic Stay ("Motion for Relief") state as follows:

I. INTRODUCTION

On or about April 17, 2020, Cesar Figueroa-Gutierrez suffered personal injury and eventually died as the result of a motor vehicle collision alleged to have been caused by the negligence of the Debtor, Lowery Farms, Inc. ("Lowery Farms"), among others. The incident occurred in Bradley County, Arkansas. Movant brought the state court civil case titled *Justin Zachary, as Special Administrator of the Estate of Cesar Figueroa-Gutierrez, Deceased; Justin Zachary, as Special Administrator of the Estate of Juan Manuel-Medina v. Lowry Farms, Inc.*, Bradley County, Arkansas, Circuit Court Case No. 06CV-22-61 ("the State Court Case"), which has been consolidated with the case of *Kenneth Lewis, et al v. Fidel Martinez-Valois, et al*, Bradley County, Arkansas, Circuit Court Case No. 06CV-21-29, pursuant to an *Order of Consolidation* entered in the State Court Case on November 9, 2023.

Lowery Farms filed for bankruptcy on April 1, 2024. and an *Order Granting Motion to Stay Case* was entered in the State Court Case on March 14, 2025. A true and correct copy of the *Order Granting Motion to Stay Case* is attached hereto, incorporated

herein and labeled “Exhibit A”. The Creditors seek relief from the automatic stay to allow the State Court to determine the amount that the Debtor owes within the State Court Case. For the reasons set forth herein, cause exists for this Court to grant the Creditors relief from the automatic stay.

This Court has jurisdiction of this matter pursuant to 28 U.S.C. §§ 1334 and 157(b). Venue is proper pursuant to 28 U.S.C. §§ 1409 and 1409. Relief is sought pursuant to 11 U.S.C. § 362(d) of the United States Bankruptcy Code. This Court has the power to enter and authority to enter a final judgment on this matter.

II. FACTS

Debtor has filed this bankruptcy case, resulting in the imposition of the automatic stay of all attempts to collect imposed by 11 U.S.C. §362(a) and preventing the Creditors from proceeding with the State Court Case to determine liability and an amount of damages owed.

On June 23, 2022, the State Court Case commenced with the filing of a Complaint filed on behalf of the Creditors, by and through their attorneys including Denise Reid Hoggard of RAINWATER, HOLT & SEXTON, P.A. (“the Rainwater Firm”). A true and correct copy of the State Court Case Docket is attached hereto, incorporated herein as if set forth word for word and labeled “Exhibit B,” which is the docket prior to consolidation, and “Exhibit C,” which is the docket after the consolidation. An Amended Complaint was filed on April 14, 2023. A true and correct copy of the Amended Complaint filed in the State Court Case is attached hereto, incorporated herein as if set forth word for word and labeled “Exhibit D”. Lowery Farms has filed an Answer in the State Court Case and the case was actually set for a jury trial to be held in 2025. Debtor has participated in the State Court Case and was represented by counsel in the State Court Case.

Movants request relief from the automatic stay in order to pursue the State Cour Case in part to develop the record, determine liability, determine the amount of damages owed and to pursue payment from Debtor's insurance company.

III. ANALYSIS

The amounts owed by Debtor as a result of liability in the State Court Case have not been determined, and the best venue for the determination of those amounts is the State Court in which the State Court Case is currently pending.

Relief from the automatic stay shall be granted "for cause" under 11 U.S.C. § 362(d)(1). However, the bankruptcy code does not define "cause". Instead, case law points the Court to a number of factors and circumstances that Court must consider in determining whether cause exists. The stay may be lifted "for cause" to allow litigation involving the debtor to proceed in another forum under certain circumstances. *In re Blan (Blan v. Nachogdoches County Hospital)*, 237 B.R. 737 (8th Cir. BAP 1999). The Bankruptcy Court has wide discretion in determining whether or not to lift the automatic stay. *Id.* at 739. "In making the determination of whether to grant relief from the stay, the court must balance the potential prejudice to the Debtor, the bankruptcy estate and to the other creditors against the hardship to the moving party if it is not allowed to proceed in state court." *Id.* at 739.

Bankruptcy courts routinely use the following factors to balance the hardships between the moving and opposing parties:

(1) whether relief will result in partial or complete resolution of issues;

(2) lack of any connection with or interference with the bankruptcy case;

(3) whether foreign proceeding involves debtor as fiduciary;

(4) whether specialized tribunal has been established to hear particular cause of action and whether that tribunal has the expertise to hear such cases;

(5) whether debtor's insurance carrier has assumed full financial responsibility for defending the litigation;

(6) whether action essentially involves third parties, and debtor functions only as bailee or conduit for goods or proceeds in question;

(7) whether litigation in another forum would prejudice interests of other creditors, creditors committee, and other interested parties;

(8) whether judgment claim arising from foreign action is subject to equitable subordination;

(9) whether movant's success in foreign proceeding would result in judicial lien avoidable by debtor;

(10) interests of judicial economy and expeditious and economical determination of litigation for the parties;

(11) whether foreign proceedings have progressed to the point where the parties are prepared for trial; and

(12) impact of the stay on the parties and the "balance of hurt."

See *In re Living Hope Se., LLC*, 505 B.R. 237, 242–43 (Bankr. E.D. Ark. 2014) and *In re City of San Bernardino*, 558 B.R. 321 C.D.Cal.2016,. Appropriate circumstances in which the Court may find cause to lift the stay include: "(1) judicial economy; (2) trial readiness; (3) the resolution of preliminary bankruptcy issues; (4) the creditor's chance of success on the merits; and (5) the cost of defense or other potential burden to the bankruptcy estate and the impact of the litigation on other creditors." *In re Loudon*, 284 B.R. 106, 108 (B.A.P. 8th Cir. 2002) citing *Blan*, 237 B.R. at 739. Not all of the factors or circumstances must be present to grant the relief requested, and equal weight need not be given to each factor. *In re Anton*, 145 B.R. at 770. Furthermore, it is not necessary that all factors be found in favor of the movant before the stay may be lifted. *Smith v. Tricare*, 181 B.R. at 577.

The facts and circumstances all weigh in favor of granting the Creditors the relief requested. Specifically, the following facts support the Creditors being granted relief from the automatic stay:

(1) Granting relief from stay will allow the issues in the State Court to be fully resolved. The State Court can determine liability issues and the amount of damages owed by the Debtor. Further, the bankruptcy court is not the best venue to pursue this matter to determine liability and damages applying state law.

(2) The Court should carefully determine whether the relief requested has any connection with the bankruptcy case or would interfere with the bankruptcy case. The State Court Case involves determinations of liability as to tort damages under state law. The State Court Case is best resolved in the state court venue and does not interfere with the bankruptcy case. This will allow Movant to develop issues relevant to the bankruptcy case, including the amount of the proof of claim.

(3) The Civil Case does not involve the Debtor as a fiduciary.

(4) The Bradley County, Arkansas Circuit Court is the best tribunal to oversee the determinations of liability and damages in the State Court Case. The State Court Case judge is in the best position to rule on any issues that may arise in determining matters of liability and damages involved in the civil matter. It would be an undue burden to move the State Court Case to bankruptcy court. There are other defendants in the State Court Case who may not be subject to the jurisdiction of the bankruptcy Court. Movants should not be required to have two separate trials. This could potentially result in conflicting outcomes.

(5) Debtor has insurance that Movants believe should cover any damages determined to be owed by the Debtor. Movants are seeking relief only to determine liability and damages so that Movants may pursue the insurance carrier for payment.

(6) The issue in the Civil Case is the determination of liability and damages in a state law tort case. Debtor's interest in the case is that the case will determine the amount of damages owed by Debtor. While this does involve Debtor directly

and not essentially third parties, the amount of Debtor's liability remains undetermined at this time.

(7) Litigation in another forum would not prejudice the interest of other creditors. Allowing the State Court Case to proceed and allowing Movants to pursue payment from the insurance company will not prejudice other creditors. Movants would most certainly be harmed if they are not allowed to obtain a finding of liability and determine damages so that they can pursue Debtor's insurance coverage for payment. Allowing payment from the insurance company would be a benefit to other creditors as it would change the amount of the proof of claim filed in this bankruptcy case.

(8) This factor weighs in favor of the Creditors as there has been no assertion that the judgment arising from the State Court Case is subject to equitable subordination.

(9) Because the Debtor is an entity rather than an individual, avoidability of any judgment obtained in the Civil Case is not an issue. To the extent it may be an issue, this factor would also weigh in favor of the Creditors being granted relief from stay because an avoidable judgment would allow the Creditors to collect from the insurance company without preventing the Debtor from avoiding the judgment.

(10) It is certainly in the best interests of judicial economy, and it would be the most expeditious and economical determination of litigation for the State Court Case to continue in State Court. It would place a burden on this Court, who is unfamiliar with the State Court Case, to bear the burden of overseeing a State Court Case, which would likely involve a jury trial. Again, there are third parties involved that may not be subject to the jurisdiction of the bankruptcy court and Movants would have to incur double expenses to purse their claims in two

different venues. For these reasons, this factor also weighs in favor of granting the Creditors the relief requested.

(11) The State Court Case has proceeded to the point that the parties are preparing for trial. The Debtor has filed its Answer in the State Court Case and the parties have participated in discovery and a jury trial has been scheduled. For this reason, this factor also weighs in favor of granting the Creditors the relief requested.

(12) The automatic stay prevents the State Court Case from proceeding to the extent that liability and the amount of debt the Debtor owes has not been finally determined by the Court in the State Court Case. It would be detrimental to the Creditors to prevent the State Court Case from proceeding. Although highly unlikely, it could be determined that the Debtor owes nothing to the Creditors. The balance of hurt weighs in favor of granting the relief requested by the Creditors.

It is necessary to determine the amount of debt owed by the Debtor to the Creditors and to allow these Creditors to pursue collection of such amounts from the Debtor's insurance carrier. Movants are not seeking relief to collect from the Debtor. Movants are seeking relief to have the damages determined so that they may pursue payment from Debtor's insurance company. The facts are clear, and they all support the granting of relief for the cause set forth herein.

IV. CONCLUSION

Justin Zachary, as Special Administrator of the Estate of Cesar Figueroa-Gutierrez, Deceased, and Justin Zachary, as Special Administrator of the Estate of Juan Manuel-Medina each should be granted relief from stay to determine Debtor's liabilities in the State Court Case; to determine the amount that Debtor owes in the State Court Case; and to pursue payment from Debtor's insurance carrier. For the reasons set forth herein, cause exists for this Court to grant these Creditors relief from the automatic stay. The fourteen (14) day stay imposed by Rule 4001(a)(3) of the Federal Rules of Bankruptcy Procedure

should be found not applicable. The harm that these Creditors will suffer if they are not granted relief from stay substantially outweighs any potential, and unlikely, harm to the Debtor.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I, the undersigned attorney, do hereby certify that on March 30, 2026, a copy of the foregoing pleading was mailed to the following by first class mail with sufficient postage or that it was noticed electronically via the Court's electronic noticing service ("ECF"):

Robert N. Rushing, Debtor's Attorney – by ECF
M. Randy Rice, Chapter 7 Trustee – by ECF
US Trustee – by ECF
All others receiving notice via ECF
Lowry Farms, Inc., 2848 HWY 8S, Hermitage, AR 71647, via first class mail

/s/ Lyndsey D. Dilks
LYNDSEY D. DILKS, Bar #2007-076